BRIEF - Wednesday, May 20, 2026

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HEADLINE OF THE DAY

*G7 Finance Ministers in Paris, yields at highest since 2007, and Nvidia in the spotlight. **G7 finance ministers meet today against the backdrop of the Iran energy crisis. The US 30Y hit** 5.18% **- a high not seen since 2007 - while global long yields climb to levels unseen in nearly 20 years. The S&P 500 fell** -0.64% **to 7,353, the NASDAQ dropped** -0.83% **to 25,870. Gold corrected sharply to** 4,481 (-1.64%) **despite risk-off, crushed by surging real yields. WTI crude fell to** 103.67 (-1.66%) **after yesterday's peak but remains in war territory.** Nvidia (NVDA) **opened down** -0.77%** at $220.61, investors staying cautious ahead of earnings.

GLOBAL SENTIMENT

****VIX** ? 18.06 (+1.06%) | ? Neutral - no panic but vigilance**

****DXY** ? 99.36 (+0.09%) | ? Stable - dollar holds**

****Gold** ? 4,481 (-1.64%) | Correction - crushed by yields**

****US 10Y** ? 4.67% (+4.15%) | Explosive rise**

****US 30Y** ? 5.18% (+2.66%) | Highest since 2007**

****US 5Y** ? 4.33% (+4.84%) | Short yields also rising**

****S&P 500** ? 7,353 (-0.64%) | Sold off**

****NASDAQ** ? 25,870 (-0.83%) | Tech under pressure**

****WTI** ? 103.67 (-1.66%) | ? Pullback after peak**

****Brent** ? 110.68 (+1.30%) | ? WTI/Brent divergence**

****BTC** ? 77,097 (-1.32%) | Decline**

****Copper** ? 6.19 (-1.0%) | Growth barometer falling**

****Silver** ? 74.79 (-3.08%) | Violent correction**

Read: The market is in pure "inflation fear" mode. The surge in long yields - driven by the Iran energy crisis and fiscal concerns - is crushing everything: gold, tech, crypto. The paradox? Risk-off isn't helping gold this time because real yields are exploding. Copper is falling, signaling concerns about global growth. Only Brent crude holds up thanks to supply tensions.

MACRO - WHAT MOVED

US

Yields erupting: The US 10Y jumped from 4.48% to 4.67% (+19bp), the 30Y hit 5.18% - highest since 2007. The 5Y exploded +4.84%. The curve is steepening with the 2Y at 3.57%, signaling the market is pricing fewer Fed cuts and more inflation.

Fed speakers today: Paulson (dovish) and Barr (centrist) speak. Paulson stated that rate cuts require progress on inflation - a hawkish signal in the current context. The market prices about 1-2 cuts by end-2026, vs 3-4 a month ago.

Nvidia (NVDA): $220.61 (-0.77%), investors cautious ahead of earnings. The stock is down -5% in 5 sessions. The market is holding its breath: a good result could reignite the AI trade, a miss could trigger a major tech correction.

Tech struggling: MSFT -1.44%, GOOGL -2.34%, AMZN -2.08%, META -1.41%. Only AAPL holds (+0.38%) thanks to China's announcement of a 200 Boeing purchase (US-China trade deal).

EIA Crude Stocks: -4.306M (vs -2.5M expected) - massive draw. Gasoline: -4.084M. API the day before: -9.1M. Crude stocks are falling sharply, supporting WTI despite yesterday's pullback.

Pending Home Sales: 3rd consecutive month of gains, signaling a tentative US housing rebound despite high rates (MBA 30Y mortgage rate: 6.46%).

Trump & politics: Trump and his sons receive "forever" immunity from existing tax audits. Thomas Massie (the most critical Republican of Trump) loses his Kentucky primary - consolidation of Trump's power in the GOP.

EU

EU Inflation (final April): CPI YoY at 2.6% (vs 3.0% March), Core at 2.3% (vs 2.2% estimated). Inflation continues to decline but core remains sticky. The ECB holds a non-monetary meeting today - no decision expected but discussions on the pace of cuts continue.

Germany PPI: PPI YoY April at -0.2% (vs 1.5% March), PPI MoM at +2.5%. The PPI drop reflects falling energy prices but the monthly increase suggests persistent input cost pressures.

G7 Finance in Paris: G7 finance ministers and central bank governors meet today. On the agenda: the Iran energy crisis, rising yields, and fiscal response coordination. Any signal of fiscal coordination will be closely watched.

EU considers Merkel or Draghi as special envoy for Putin - US-Ukraine talks being at a standstill. Europe seeks to take diplomatic initiative.

UK Housebuilders: £8bn in market cap lost due to the Iran war - construction costs are exploding and demand is collapsing.

China

Xi meets Putin: Xi warns against the "law of the jungle" in his meeting with Putin, days after the Trump-Beijing summit. China positions itself as a counterweight to the US while seeking to extend the trade truce.

Boeing-China deal: China commits to buying 200 Boeing aircraft and easing rare earth restrictions - a major trade breakthrough within the US-China truce framework. Section 301 tariff limits set.

Wheat: US wheat futures fall (-4.68% to $665.5) as China hasn't confirmed the agricultural purchases announced by Trump. Doubt is setting in on the reality of trade deals.

UK

UK CPI (April): Inflation Rate YoY at 3.3% (consensus 3.0%, March 3.3%) - higher than expected. Core at 3.1% (vs 2.7% expected). PPI Input MoM at +4.4%, PPI Output YoY at 2.6%. UK inflation remains sticky, fueled by energy prices and wages.

Retail Price Index: RPI YoY at 4.1% (vs 3.5% expected) - RPI-measured inflation remains well above the BOE target. The pound suffers: GBP/USD at 1.3392 (-0.99%).

ForexLive warns: "There will be more than meets the eye in the UK CPI report" - details on services inflation and wages will be decisive.

EM

Indonesia: Bank Indonesia cuts rates to 4.75% (vs 5.0% expected), deposit facility to 3.75%. The rupiah hit a historic low, forcing BI to intervene. Prabowo tightens commodity export controls - Indonesian stocks fall.

South Africa: April inflation at 3.1% (vs 3.9% March, consensus 4.0%) - dovish surprise. Core at 3.2%. The SARB may have room to cut rates. Retail Sales disappointing at +1.6% YoY.

Nigeria: Africa's largest economy ready to hike rates following the war shock.

GEOPOLITICS

Hot

Iran war: WTI crude topped $108 this week before pulling back to $103.67. Brent remains at $110.68. Oil futures remain "bloody" per the FT but history shows expectations are often disappointed. Costs for US consumers total $45 billion since the war began. Trump threatens Iran with further action.

Yemen/Gulf: The Gulf crisis "is just beginning" per the FT. Protests spread across Africa as the fuel crisis worsens.

Ukraine: The EU considers appointing Merkel or Draghi as Putin's "whisperer" - US-led talks at a standstill.

Watch

G7 Finance in Paris: Meeting today - coordination on the energy crisis and fiscal responses. Any fiscal stimulus signal would be bullish for markets but bearish for yields.

Trump-Putin: Xi meets Putin and warns against the "law of the jungle" - China positions itself as mediator while strengthening ties with Moscow.

Cuba: Cuban leader warns of a potential "bloodbath" if the US takes military action.

Positive

US-China trade deal: 200 Boeing + rare earth easing - a concrete breakthrough in the trade truce.
EU inflation declining: CPI at 2.6% in April, continuing disinflation.
SA inflation dovish surprise: 3.1% vs 4.0% expected - room for the SARB.

FX FOCUS

`EUR/USD` ? 1.1598 (-1.01%) | Euro under pressure
`GBP/USD` ? 1.3392 (-0.99%) | Pound: sticky CPI but US yields dominate
`USD/JPY` ? 158.96 (+0.70%) | ? Weak yen, BoJ powerless
`USD/CHF` ? 0.7900 (+1.09%) | ? Swiss franc up (partial safe haven)

Analysis: The dollar dominates all major pairs. The euro suffers from the ECB/Fed divergence - the ECB cutting rates vs the Fed unable to. The pound is torn between higher-than-expected UK CPI (which should be bullish) and rising US yields (bearish). The yen continues to weaken despite Japan's billions spent - USD/JPY at 158.96, BofA revising its forecast to 152 (vs 157 previously) and identifying 3 triggers for a yen reversal. The CHF benefits slightly from safe-haven flows.

****Pair to watch:** `USD/JPY` - BofA is no longer bearish on yen. If 159.50 breaks, acceleration towa**

COMMODITIES

****Oil:** WTI 103.67 (-1.66%) | Brent 110.68 (+1.30%)**

Notable WTI/Brent divergence. WTI pulls back after the $108.66 peak (yesterday) while Brent remains supported by global supply tensions. EIA stocks showed a massive draw of -4.3M barrels (vs -2.5M expected), with API at -9.1M the day before. Gasoline also drew -4.084M. The market remains in "Iran premium" mode - oil has gained over 30% since the conflict began. The Woodside CEO warns of a prolonged "energy crunch." US consumers have paid $45B more since the war began.

****Gold:** 4,481 (-1.64%)**

Gold corrects sharply despite the risk-off environment. The reason: US real yields are exploding (10Y at 4.67%), making the opportunity cost of holding gold prohibitive. Bloomberg RSS notes: "Gold Holds Losses as Iran Impasse Keeps Rate Hike Bets High." Gold has lost -$75 in 2 sessions. Key support at 4,400 - if broken, acceleration toward 4,200.

****Silver:** 74.79 (-3.08%)**

An even more violent correction than gold. Silver suffers doubly: as a precious metal (yields) and as an industrial metal (copper falling, growth fears). The Gold/Silver ratio is tightening.

Copper: 6.19 (-1.0%)
"Doctor Copper" signals concerns about global growth. Falling copper + rising oil = stagflation signal. China hasn't confirmed the announced wheat purchases, casting doubt on the reality of trade deals.

****Wheat:** 665.50 (+4.68%)**

Despite yesterday's drop on lack of Chinese confirmation, wheat remains up for the week. Agricultural commodity tensions persist.

Natural Gas: 3.11 (+5.07%)
Natural gas surges +5% - energy as a whole remains under upward pressure from the Iran crisis.

TODAY'S CALENDAR

00:00 - JP Reuters Tankan Index (MAY) - Prev: 8 | Cons: 8 | ?
01:15 - CN Loan Prime Rate 1Y & 5Y - Hold expected at 3.0% / 3.5% | ?
03:35 - JP 20-Year JGB Auction - 3.711% (vs 3.327% prev.) | JGB yields rising
06:00 - DE PPI YoY (APR) - -0.2% (vs 1.5% prev.) | ?
06:00 - **GBP - UK CPI YoY (APR) - 3.3% (vs 3.0% cons.)** | Higher than expected
06:00 - **GBP - UK Core CPI YoY (APR) - 3.1% (vs 2.7% cons.)** | Sticky
06:00 - GB PPI Input/Output - Input +4.4% MoM |
06:00 - GB RPI YoY (APR) - 4.1% (vs 3.5% cons.) |
07:00 - EA ECB Non-Monetary Policy Meeting | ?
07:30 - **ID Interest Rate Decision - 4.75% (vs 5.0%)** | ? 25bp cut
08:00 - ZA Inflation Rate YoY (APR) - 3.1% (vs 4.0% cons.) | ? Dovish surprise
09:00 - **EA CPI Final (APR) - 2.6% YoY / Core 2.3%** | ? Continued disinflation
09:30 - DE 10-Year Bund Auction - 3.08% | ?
10:10 - EU Bill Auctions (3M/6M/12M) | ?
11:00 - US MBA Mortgage Applications - +1.7% | ?
11:00 - ZA Retail Sales YoY - 1.6% | ?
12:00 - US Fed Paulson Speech | ?
14:15 - US Fed Barr Speech | ?
14:30 - **US EIA Crude Oil Stocks - -4.306M (vs -2.5M cons.)** | ? Massive draw
14:30 - US EIA Gasoline Stocks - -4.084M | ?
15:30 - US 17-Week Bill Auction - 3.615% | ?
16:00 - CA 2-Year Bond Auction - 2.954% | ?
16:00 - RU PPI YoY (APR) - -1.8% | ?

This week:
Thursday 21: US Existing Home Sales, Fed Speakers, Philly Fed Manufacturing
Friday 22: US New Home Sales, Consumer Sentiment (UoM), Fed Speakers
Nvidia Earnings: Results expected this week (exact date TBC) - the most important event for the tech market

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DEEP MACRO THEME OF THE DAY

*The Great Yield Repricing: Why This Time Is Different.**

We are witnessing a fundamental regime change in global bond markets. The US 30Y at 5.18% is not an accident - it's the price of a world where structural inflation is higher than in the 2010s. Three forces are converging:

*First**, the Iran energy crisis. Oil at $100+ is no longer a temporary shock - it's the new floor. Every dollar of oil above $80 feeds core inflation through transportation, production, and commodity costs. The "Iran premium" on oil is here to stay as long as the conflict remains unresolved.

*Second**, loss of confidence in fiscal discipline. US deficits are widening despite growth, the G7 is discussing fiscal stimulus, and investors are demanding a higher risk premium to hold long-duration debt. The Bund 10Y at 3.08% (vs 2.5% three months ago) shows this is not just a US phenomenon.

*Third**, the Fed is trapped. Paulson says cuts require inflation progress - but inflation isn't progressing because of oil. Result: yields rise, the dollar strengthens, EM suffers (rupee at historic low), and the Fed can do nothing.

The implication? The "Fed put" is dead. Markets can no longer count on the Fed to rescue risk assets. This is a paradigm shift that will redefine asset allocations for months to come. 60/40 portfolios are suffering, cash is king again, and gold - the traditional safe haven - is being crushed by opportunity cost. This is temporary: when the Fed is forced to act (recession or credit crisis), gold will explode higher.

CONSENSUS VS REALITY - THE ALPHA

****What the market is pricing:****

"Inflation is under control" ? Partially true for US core, but oil at $100+ will re-feed core inflation in 3-6 months. The market is ignoring this lag.

"The Fed will cut 2-3 times in 2026" ? False. With oil at $100+ and the 10Y at 4.67%, the Fed has no room. The market will have to de-price these cuts.

"Gold is a safe haven in times of crisis" ? True long-term, false short-term. As long as real yields rise, gold suffers. The real safe haven today = cash USD and T-Bills.

"The Iran war is temporary, oil will come back down" ? The FT warns: "The Gulf crisis may just be starting." Futures are "bloody" but history shows expectations are often disappointed. Oil could stay >$90 for months.

"Nvidia will save the tech market" ? The market is pricing a good NVDA result, but the bar is high. A miss could trigger a -5-10% tech correction. Risk is asymmetric.

"EM is attractive with high rates" ? Strong dollar + rising US yields = EM capital flight. Rupee at historic low, Indonesia forced to cut rates despite weak rupiah. EM is a trap.

"China will stimulate and reignite growth" ? The Boeing deal is positive but limited. China hasn't confirmed agricultural purchases. Chinese stimulus remains tame and exported deflation continues.

The alpha:

1. **Short Gold / Long USD** - As long as real yields rise, gold remains under pressure. Target: 4,200-4,300 on gold. Invalidation: surprise dovish Fed or VIX >25.
2. **Long Oil Spread Brent-WTI** - The divergence Brent ($110) / WTI ($103) reflects global supply tensions vs US demand. The spread should tighten if Iran escalates. Entry: $7 spread, Target: $3.
3. **Short EUR/USD** - Maximum ECB/Fed divergence. The ECB is cutting, the Fed can't. Target: 1.14. Invalidation: hawkish ECB surprise or Iran de-escalation.
4. **Long USD/JPY toward 160 then reversal** - BofA identifies 3 triggers for a yen bull trade. Meanwhile, the carry remains favorable. Entry: 158.50, Target: 159.50-160, then short toward 152 if triggers activated.
5. **Long Natural Gas** - +5% today, the Iran energy crisis will continue pushing gas prices higher. Target: $3.50. Invalidation: Iran de-escalation or mild weather forecast.

MERTON'S TAKE

*Regime: Stagflation Light - Yields Up, Growth Questionable, Fed Trapped.**

We're in a regime markets haven't seen since 2006-2007: long yields surging, expensive oil, a strengthening dollar, and a Fed that is prisoner of its own constraints. The S&P 500 at 7,353 (-0.64%) isn't in panic mode yet, but the trend is clear - risk assets are under pressure.

*The driver of the week:** The Iran energy crisis and its impact on yields. Every day oil stays >$100, yields rise, and every yield increase compresses tech valuations. This is a vicious circle that can only be broken by two things: (1) Iran de-escalation, or (2) sufficient economic deterioration to force the Fed to act. Neither is imminent.

*My conviction:** Yields will stay elevated this week. The G7 won't produce a miracle solution. The higher-than-expected UK CPI confirms inflation is sticky in Europe too. And Nvidia - the ultimate hope of the tech market - risks disappointing given the high bar.

*The trade of the week:** Long USD, Short EUR/USD, Short Gold (target 4,200), Long Oil. Cash is king in this environment. Long-duration bonds are to be avoided - the "bond bloodbath" ZeroHedge describes is not over.

*Position:** Defensive. Reduce tech exposure. Increase cash USD. Hedge gold positions. Watch the VIX - if it breaks above 20, accelerate rotation to defensive. The next major catalyst will be Nvidia earnings - if it's a miss, we could see the S&P test 7,200 quickly.

Sources: Yahoo Finance API (real-time prices), FT RSS Home & Markets, Bloomberg RSS Markets & Economics, CNBC World, Trading Economics (calendar + macro data), ForexLive, ZeroHedge, Oilprice.com, Polymarket API*
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